

Agreement of Purchase and Sale

Peter Luo**FORM 100 FOR USE IN THE PROVINCE OF ONTARIO****GENERAL USE**

This document is used to detail the terms & conditions of the offer from the Buyer as well as any subsequent counter offers from Seller & Buyer until an agreement is made between the two parties.

DEPOSIT The Buyer includes a deposit in the offer to show sincerity and to make the agreement legally binding. The deposit is considered to be part of the purchase price and will be credited towards the down payment on closing. **It should be noted that the deposit will be cashed upon receipt so funds need to be available.*

1. IRREVOCABILITY This is the time frame for which the offer is good until. If the offer is not accepted within the allotted time period the offer is Null and Void and no longer binding. **If the offer is signed back a new irrevocable will be opened up at that time.*

2. COMPLETION DATE

This is the date that the property is scheduled to change hands and unless otherwise stated in the agreement; vacant possession is to be provided. **The completion date cannot be on a weekend or Stat Holiday.*

3. NOTICES This paragraph outlines the various forms of communication that are acceptable to deliver notice. **If multiple representation, the notice must be delivered and acknowledged by the Buyer and Seller directly unless authority has been granted elsewhere in this agreement of purchase and sale for the sales representative to act for both parties.*

4. CHATELS INCLUDED This section allows the Buyer and Seller to negotiate any items they wish to include in the agreement which are not affixed to the property. Not limited to but common examples are appliances, sheds, garage door remotes etc. **The guide to follow is "when in doubt spell it out". Best practice is clear descriptions of the items so as to avoid confusion.*

5. FIXTURES EXCLUDED This includes any items that are attached to the house that both the Seller and Buyer agree will be removed prior to completion. Not limited to but common examples are chandelier, bathroom mirrors, TV Brackets, Reverse Osmosis Water treatment, curtain and rods etc. **Same guiding principle as in #3 chattels- it is always best to spell things out very clearly. Also keep in mind there may be holes, or damage during the process of removal.*

6. RENTAL ITEMS This section deals with items that are currently rented on the property and not included in the purchase price. Typical examples are hot water heaters, water softeners, sometimes furnace & A/C. **Note the items listed in this section must be assumed unless otherwise detailed in this agreement. It is strongly advised to review rental contracts prior to assuming them.*



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7. HST: If the sale of the property (included in/in addition to) closing, that the sale of the property

7. HST This section details how HST is to be handled if applicable. Most, however not all residential resale agreements are exempt of HST. Certain commercial and new build residential agreements may be subject to HST. **HST can be handled in many different ways and we strongly recommend seeking independent advice from an accountant.*

8. TITLE SEARCH: Buyer shall be allowed to examine the title to the property at the conditions in this Agreement are

8. TITLE SEARCH

This sets out the time frame for the Buyers lawyer to do the necessary searches of title on the property to ensure the Buyer is receiving free and clear title. **This date is typically 1-2 weeks prior to closing.*

work orders or deficiency notices at be lawfully continued and that the parties agencies releasing to Buyer details deliver such further authorizations in

9. FUTURE USE

This section details that there is no guarantee as to the future use of the property except for the use provided in point #8 above. **For example if this agreement states that the present use is a single family residence there would be no guarantee that in the future the Buyer can operate a business.*

9. FUTURE USE: Seller or will be lawfully

10. TITLE: Provided that the title to the property specifically provided in this Agreement are complied with; (b) any registered are complied with, or security has been provided; (c) any minor easements for the utility; (d) any minor easements for the property

10. TITLE

This section also ties into point #8 above. It provides that the Buyer is entitled to free and clear title but must accept title subject to any easements (telephone, gas, sewers etc), restrictive covenants and any municipal agreements, zoning bylaws or utility/service contracts must be assumed by the Buyer. **Various issues related to title can be convoluted and it is advised to consult your lawyer.*

11. CLOSING ARRANGEMENTS: Where the transaction will be consummated and the exchange of closing funds, non-refundable and the exchange of closing funds, non-refundable and the exchange of closing funds, non-refundable

11. CLOSING ARRANGEMENTS We now live in a digital age and this section outlines how electronic closing will happen. **In person signing of closing documents is the common method however situations can arise when parties are not able to sign in person, a notary may be required, speak with your lawyer on your options.*

12. DOCUMENTS AND DISCHARGE: except such as are in the possession control to Buyer as soon as possible pursuant to the Trust And Loan Company and which is not to be assumed by Buyer personal undertaking to obtain, out title within a reasonable period of time prepared by the mortgagee setting out not being used, a direction executed due on completion.

12. DOCUMENTS AND DISCHARGE This section calls for the Seller to deliver any documents they have in their possession but the Buyer cannot call for the Seller to produce anything they don't have. It also details the discharging of mortgages on completion. **Often times we may see the Buyer call for the Seller to provide an existing survey of the property in their possession.*

13. INSPECTION: Buyer acknowledges be a binding agreement of purchase requirement for a property inspection this Agreement, the Buyer will

13. INSPECTION This paragraph makes it known that the Buyer has the opportunity to complete a home inspection and if they chose not to; they do so at their own risk. **An Inspection clause is typically inserted into the Schedule A of the agreement.*

14. INSURANCE: All buildings on the property completion, Seller shall hold all insurance event of substantial damage, Buyer take the proceeds of any insurance a Mortgage, or Buyer is assuming a other mortgagee's interest on completion

14. INSURANCE Don't cancel that insurance just yet! This section states that the Seller is required to insure the property up until closing at which point the Buyers insurance takes effect. If there is fire prior to closing the Buyer has the option not to buy or they can take the insurance money with the property as is. **Insurance clauses can be inserted into Schedule A as well. Your home inspector can inform you if there are any potential insurance red flags.*

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15. PLANNING ACT: This Agreement is subject to the provisions of the Planning Act by completion.

16. DOCUMENT PREPARATION: The Seller, and any Charge/Mortgage to the Transfer/Deed to be delivered at completion.

17. RESIDENCY: (a) Subject to (b) below, the non-residency provisions of the Income Tax Act shall apply to the Seller in a non-resident under the non-resident provisions of the Income Tax Act, if any, necessary for Buyer.

18. ADJUSTMENTS: Any rents, mortgage interest, and unmet cost of fuel, as applicable, to Buyer.

19. PROPERTY ASSESSMENT: The Buyer and properties may be re-assessed at the Brokerage, Broker or Salesperson, for taxes that accrued prior to the completion.

20. TIME LIMITS: Time shall in all respects may be extended or abridged by a written agreement authorized in that regard.

21. TENDER: Any tender of document at completion. Money shall be tendered using the Lynx high value payment system to time.

22. FAMILY LAW ACT: Seller warrants that the property is not the spouse of the Seller under the R.S.O. 1990 unless the spouse of the Seller.

23. UFFI: Seller represents and warrants that the property to be insulated with insulation contains or has ever contained insulation, and if the building is part of this transaction.

15. PLANNING ACT

This paragraph states that the agreement is subject to compliance with the Planning Act. **The Seller will provide proof of said compliance by completion.*

16. DOCUMENT PREPARATION

This section provides that the Buyer will be responsible for paying for the preparation of their own Mortgage and Land Transfer Tax Affidavit and the Seller will be responsible for the Deed of Transfer. **If you are first time Buyer you may be eligible for a land transfer tax rebate, consult your lawyer.*

17. RESIDENCY

This section ensures the Seller is a Resident of Canada. If not a resident; that they have paid the appropriate taxes due under the Income Tax Act for non-residents. **If you are a non-resident it is advised that you consult your accountant on potential tax implications.*

18. ADJUSTMENTS This section states that there can be certain charges on closing that will be adjusted against the purchase price. For example prepaid or outstanding taxes or utilities. The Buyer will assume responsibility on the day of completion. **Remember to notify the utility companies and order final readings.*

19. PROPERTY ASSESSMENT The Municipal Property Assessment Corporation (MPAC) completes current value assessments and taxes may be re-evaluated on an annual basis. The Buyer and Seller will not hold the Salesperson responsible for any changes to the taxes. **MPAC assessments are completed every four years and phased in over the following four years, this is why you will often see tax assessed values typically lag behind market value.*

20. TIME LIMITS

All deadlines must be met according to the dates and times here in. **Timelines can be extended or amended by an agreement in writing between both parties.*

21. TENDER Both Seller and Buyer must produce certain documents to demonstrate that they are ready, willing and able to close the transaction. **For example the Sellers must produce the Transfer/Deed and keys and the Buyers generally need to produce the money.*

22. FAMILY LAW ACT This section just ensures that no spouse has claim to the property other than the person signing or a spouse that consented on the signature area on page 8 of this document. **If the property is the matrimonial home then spousal consent is required on the signing page even if only one of the spouses is registered on title.*

23. UFFI The Sellers warrants that during the time they have lived at the property they have not used insulation containing ureaformaldehyde and to the best of their knowledge there is none on the property. **Do your*

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own research on UFFI, many studies have since proved that this was not causing the health concerns originally alleged however the stigma still exists.

24. LEGAL, ACCOUNTING AND ENVIRONMENTAL ADVICE Any advice given by the Brokerage or Salesperson is not to be considered as expert opinion and you are advised to seek independent advice on any of these matters. **If any of these a factors will influence your decision, it is advised to seek independent advice.*

25. CONSUMER REPORTS

This section notifies the Buyer that a personal/credit check maybe obtaining in conjunction with this offer. **This is typical with financial institutions or potentially with landlords leasing a property*

26. AGREEMENT IN WRITING This section outlines that if there is a discrepancy with any of the standard preprinted clauses and some- thing that was inserted or handwritten in- the inserted or hand written clause will supersede the preprinted. **The same applies to anything inserted into the schedules- this would supersede the preprinted portion*

27. ELECTRONIC SIGNATURES

This section just allows this agreement to be sent electronically and it will still be legally binding. **Electronic signing programs are now commonly used in the real estate profession. Be sure to use a system that can authenticate and provide a verification certificate.*

28. TIME AND DATE

Any time or date in this agreement shall be based on the time where the property is physically located. **This can become problematic when Buyer and Seller are not in the province or country with the same time zone this addresses which time zone will be used.*

29. SUCCESSORS AND ASSIGNS

In the event that one of the parties passes away prior to completion their heirs or executors are bound by the agreement. **Extra time may be required to close in order for probate to happen.*

SIGNING UNDER SEAL

Signing under seal means that you are doing this in good faith and you do in fact intend to follow through with the agreement. You are not under the influence of drugs or alcohol and you are not being coerced.

SCHEDULE A This section of the Agreement of Purchase and Sale is typically where clauses, representations and warran- ties etc. will be inserted to protect both the Buyer and Seller. For example conditions on Financing, Home Inspection, the Sale of the Buyers House, Condition of the Seller finding a new suitable home etc. This section can also be used to outline any disclosures by the Seller.